

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

September 28, 2026 | 05:14 PM ET

MACRO REGIME: Mixed / Transitional

VIX 16.1 (+0.3 vs 20d) | SPY 20d -0.2% | IWM 20d -4.7% | IWM/SPY trend -4.5%
Leaders: Technology (+4.3%), Healthcare (+0.4%), Comms (-0.2%)

Setup Grades

A - Prime Setup (0)	B - Building (0)	C - Early Stage (1)
		VSXY

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
C	VSXY	Victorias Secret	Consumer Recovery /	\$7.04B	\$88.29	\$90.41	2.4%	+3.0	YES	no

VSXY

Victorias Secret & Co.

\$88.29

Pivot \$90.41 | 2.4% away

RS vs SPY: +3.0%

C EARLY STAGE

\$7.04B Cap | 71M Float

Apparel Retail - Intimate Apparel & Beauty | Theme: Consumer Recovery / Brand Turnaround | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 4.31

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$90.41
% to Pivot	2.4%
Days in Base	9
Tightness	4.31 Fair
52W Hi Prox	86.2%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1319k <
Wk2	2184k <
Wk3 (oldest)	2774k
Coil Strength	52.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+3.0%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$7.04B
Float	71M sh
P/E (TTM)	19.7
Fwd P/E	15.7
Rev Growth	10.4%
Short %	16.4%
Inst. Own	-
Target Pr.	\$91.55

ENTRY TRIGGER
Close above \$90.50 on volume >150% of 20-day average (>2.65M shares)
Target: \$102.50 - retest of 52-week high representing 16% upside; measured move from 9-day base depth (~\$6) added to pivot yields similar target
Stop: \$84.00 - below base low and round number; represents ~5% risk from current price

CATALYST INTELLIGENCE
EARNINGS

Dec 03 - Street consensus: EPS ~\$1.35-1.45, revenue ~\$1.65B for Q3 (holiday preview quarter). Beat history is strong - company has beaten EPS estimates 3 of last 4 quarters with one inline print. FY guidance was maintained at last report with management citing stabilizing traffic and improved conversion; no recent raises but no cuts either. No imminent investor day scheduled; 66 days to next earnings is a meaningful gap with no near-term catalyst visibility.

BUSINESS & POSITION
Victoria's Secret is the dominant U.S. intimate apparel retailer with ~20% domestic market share, operating 800+ North American stores plus international franchise and e-commerce channels; spun from L Brands in 2021. The company is executing a multi-year brand repositioning away from its legacy 'Angels' marketing toward body inclusivity and expanded size ranges, while rationalizing store footprint and growing the higher-margin PINK and beauty segments.

FACTOR & THEME
Taps the consumer discretionary recovery theme as wage growth remains positive and credit conditions stabilize, though apparel retail faces secular headwinds from e-commerce and fast fashion. Sentiment in retail turnaround names is cautiously improving post-2025's inventory normalization cycle; peer TJX and BURL have outperformed, signaling selective consumer strength in value-oriented channels, though specialty apparel remains mixed.

NEWS FLOW
Limited material news flow in last 60 days - no major partnership announcements, M&A, or strategic pivots disclosed. Q2 earnings in early September showed continued margin improvement and positive same-store sales trends but no upside surprise large enough to spark fresh institutional interest. No Russell/S&P index action imminent. The 16.4% short interest with 4.8 days-to-cover creates potential squeeze fuel if a positive catalyst emerges, but no identifiable trigger within the next 30 days. Catalyst type: None imminent (Low impact).

INSTITUTIONAL
Volume dry-up with price holding near highs suggests quiet accumulation by patient buyers; however, institutional ownership data is unavailable from this feed (yfinance gap - not a red flag, simply unknown). ZERO insider buying in the last 60 days per SEC Form 4 data - the absence of insider conviction at these elevated levels is notable given the stock is up >240% from 52-week lows; insiders may be locked out or simply not participating in the rally. No recent 13D/13G activist filings. High beta (2.05) makes this a risk-on name that will amplify market moves in either direction.

KEY RISK
Thesis invalid on a close below the \$84.50 base low (9-day range floor), or on any Q3 guidance cut given 16.4% short interest that would accelerate downside. Key fundamental risk is consumer spending deceleration in discretionary categories if labor market weakens; high debt/equity (276%) limits financial flexibility in a downturn. RS line NOT at new high despite price proximity to pivot - the stock is lagging the market on this rally leg, a yellow flag for momentum quality.

Volume contraction is textbook (52.5% reduction over 3 weeks) and price is tight to pivot at 2.4%, but base_tight at 4.31 is loose by institutional standards (>2.0 threshold), the RS line is NOT at a new high indicating relative weakness versus SPY, and there is no identifiable catalyst within 60+ days until December earnings. The 16.4% short interest provides squeeze optionality but without a trigger event this is dead money risk. Consumer Discretionary is a lagging sector (-6.5% over 20 days) in a mixed/transitional regime with small-caps underperforming large-caps by 4.5% - macro headwinds are meaningful for a beta-2.0 retail name. Strongest disconfirming argument: no insider buying despite 240% rally from lows, loose base structure, and sector headwinds suggest this rally is mature rather than early-stage. This is a watch-list name that needs either (1) base tightening over 2-3 more weeks, (2) RS line breakout to new high, or (3) a corporate catalyst to merit promotion. Conviction: Low.

VSXY — 90D Base Setup | Pivot: \$90.41 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

